

MENTORSHIP WITH ASTA

THE JOURNEY FROM
PASSION

TO

PROFESSION



Heiken Aashi

Avoid Shakeouts
Ride the Winner
Reduce the Noise
Get Off the Screen
Trail the Stop Loss
and
ENJOY TRADING!
With
Heiken Aashi

Heiken Aashi

Heikin-Ashi charts, developed by Munehisa Homma in the 1700s.

Heikin-Ashi technique uses a modified formula:

Heikin-Ashi Close = (Open+High+Low+Close)/4

Heikin-Ashi Open = [Open (previous bar) + Close (previous bar)]/2

Heikin-Ashi High = Max (High, Open or Close)

Heikin-Ashi Low = Min (Low, Open or Close)

Decisive Candles (Weapons)

Bullish when there is no Lower wick (Leg)

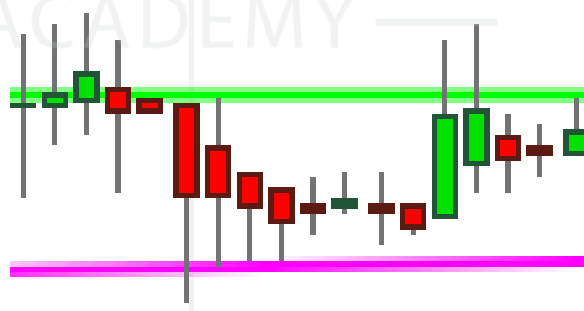
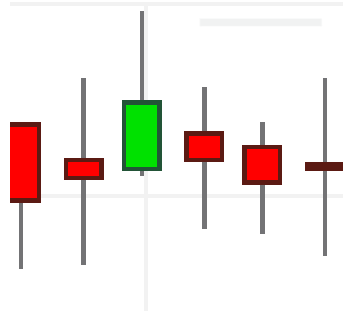


Bearish when there is no Upper wick (Leg)

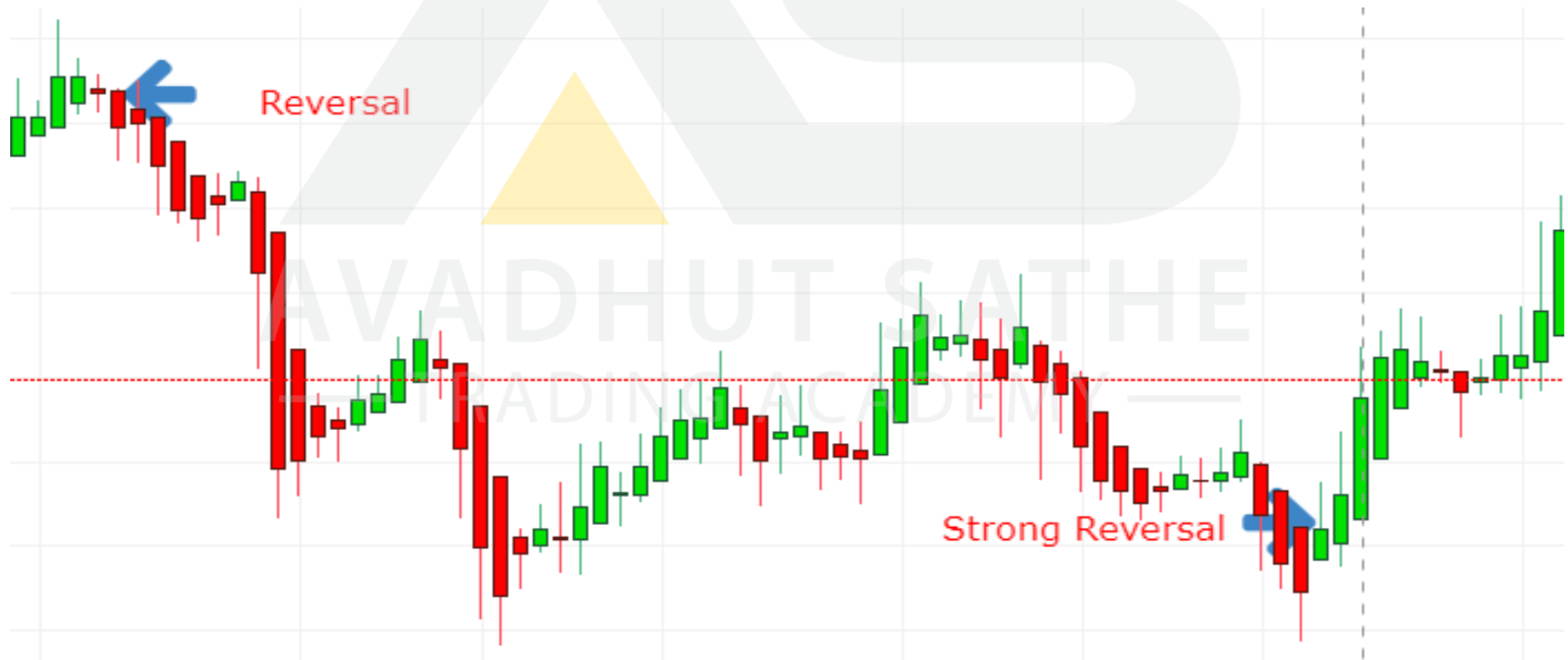


Indecisive candles:

Whenever there are wicks on both sides...



Reversal is stronger if HA changed colour without giving any neutral candle at some support / resistance.



Heiken Aashi: Trailing your Stop Loss

Every SOLID candle in the direction of your trade can be taken as trailing stop loss point.



Heiken Aashi (Set-up)

Confirm the Trend (on Tide) and then check Heiken Aashi (HA), should be solid Green/Red (as per the trend).

Go to your wave and see whether HA is on opposite colour of that main trend (this can be considered as wave going against the Tide, be ready to take the advantage of this wave).

Wait till HA is NEUTRAL on wave (this means there is a possibility of Wave is getting aligned to the Tide).

Once that candle is formed, go to one TF lower to check the development of HA.

One may take a trade if trader observes HA is changing its colour in the direction of the main trend (of your Tide.)

Check the illustration on the following pages.....

Trade in the Direction of Higher TF

- Higher Time Frame (Monthly): *April 2018 (Tide)*



Take Advantage of Wave, opposite of Tide

- Weekly : 7th May 2018 (Wave)



Entry using the Ripple

- Daily : 15th May 18 (Ripple) changing colour and closing above the red HA



Exit on the Wave

- Daily : *Observation based on the normal candle*



Exit on the Wave using HA

- Daily : When the red solid HA closes below the green one may book profits



50 MA with HA: Vital indicators for Traders

- 50 MA is an important indicator for traders..
- Trade in the direction of slope of 50 MA . When slope is flat wait.. And enter on confirmation
- Use HA colour change for Entries



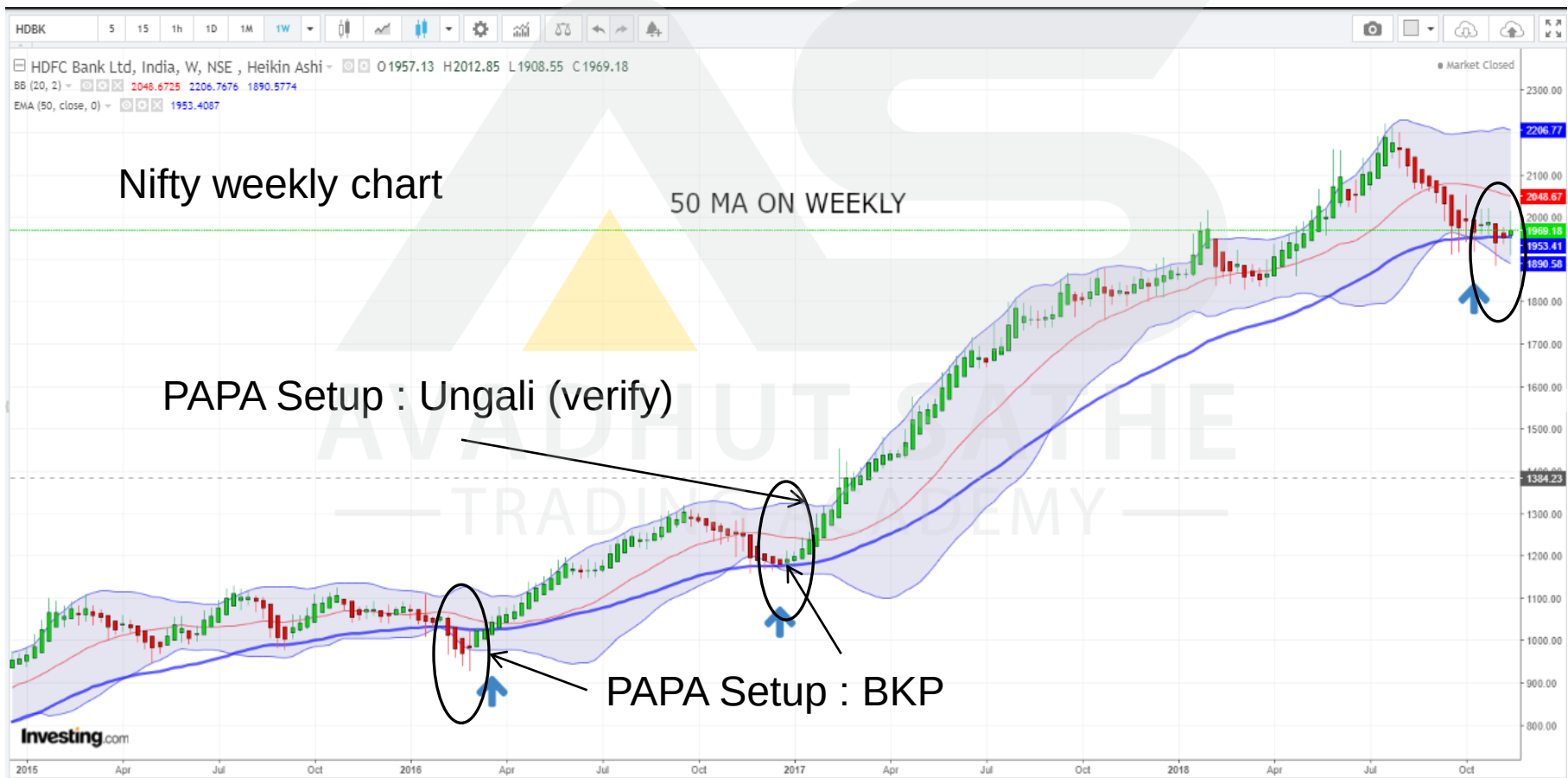
50 MA : Useful even for day-traders

- Trade in the direction of higher TF (daily HA is green)
Take advantage of dip on hourly
- If price bounces off the 50 MA enter the trade on HA colour change



50 MA : Higher the TF better the Impact

- Nifty weekly uptrend is intact as long as its above 50 MA
- Use HA colour change for taking entries and exits



False Breakout with HA

- Traps the Bulls and Squeezes the Bears
- Price rejects the breakout level
- HA colour confirms the downtrend



Price comes below the breakout level and most times retests it

False Breakdown with HA

- Traps the Bears and Squeezes the Bulls
- Price rejects the breakdown level
- HA colour confirms the uptrend

SBI: False Breakdown in Oct 2018



Thank you!!!

- Trust your **Heiken Aashi** !
- They can be Magical
- Combine them with your PAPA setups
- Use Lower TFs to refine your entries
- Keep it SIMPLE ...
- YOU CAN DO IT !!!